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ADVANTAGES AND DISADVANTAGES OF CLOUD COMPUTING FOR ENTERPRISE RESOURCE PLANNING (ERP)

Cloud based ERPs run on remote servers and are managed by a third party. Some of the advantages include:

1. **Scalability:** Cloud computing enables ERPs to increase or decrease your resources based on organizational needs and customer demands.
2. **Security and Data Backup:** Specialist vendors are likely to have more resources and expertise to dedicate to security than will be available to companies internally.
3. **Reduced cost:** Cloud computing reduces cost for ERPs, eliminating the need for additional hardware and software investments.

Some of the disadvantages include:

1. **Access to sensitive data:** Cloud vendors who host ERPs may have access to the company's private data.
2. **Reduced control:** You have little say in updates being implemented by the vendor, for example, even if these changes aren't well-suited to your business and its needs.
3. **Connectivity issues:** In order to access data stored in the cloud, there has to be reliable internet connection. Poor connection can lead to lost time, money, and affect customer service, impacting the business reputation.

Works Cited

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